LBO acquisition case study

Buy-side leveraged acquisition, Islamic finance, financial services sector

Sharia-Compliant Leveraged Acquisition of a Target Company

Proposed acquisition of 100 percent of the Target Company, with approximately 75 percent of the purchase price to be financed through Commodity Murabaha.

YD designed the acquisition vehicle, the financing and security package and the proposed listing route.

The issue

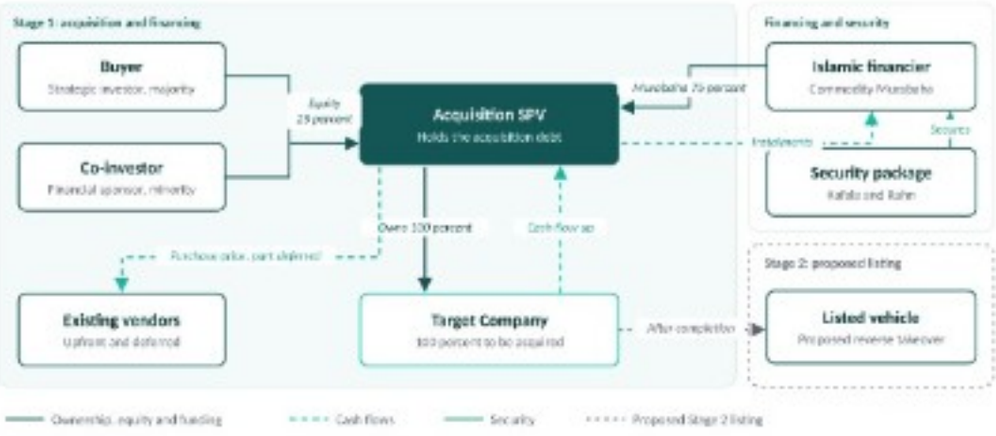
The Buyer, a strategic investor, wanted to acquire a cash-generative Target Company in the financial services sector without funding the full purchase price in equity, and with a clear view of how and when it could realise value.

Transaction requirements

A Sharia-compliant financing sized to the Target Company's own cash flow, security strong enough for a financier to fund approximately three quarters of the price, deferred terms that link vendor proceeds to performance after completion, and a proposed listing to support the Buyer's exit.

How the transaction is structured

Schematic, indicative terms



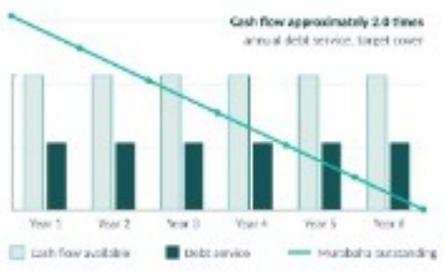
Funding stack

Indicative



Debt service and cover

Illustrative shape, not to scale



Cash flow priority

Order of application

1. **Target Company operating needs**
   Operating costs, tax and regulatory capital held at operating level
2. **Distribution to the Acquisition SPV**
   Surplus cash flow moves up to holding level
3. **Murabaha instalments**
   Profit and principal paid to the Islamic financier
4. **Residual to equity**
   Available to the Buyer and co-investor once instalments are met

Deferred consideration is to be paid to the vendors after completion on the agreed terms.

Who carries which risk

Indicative allocation

Risk	Buyer	Financier	Vendors
Cash flow shortfall	●	○	
Recovery on default		●	
Post-completion performance	●		○
Sharia compliance of funding	○	●	
Listing timing and exit	●	○	

● Holds the risk ○ Shares the risk

What the structuring addresses

Debt kept at holding level
The acquisition debt sits in the Acquisition SPV, separate from the Target Company's day-to-day operations.

Sized to cash flow
Debt is sized to what the Target Company earns, repaid over five to six years at approximately 2.0 times cover.

Deferred consideration links vendor proceeds to performance
Part of the purchase price is to be paid after completion on agreed terms, so the vendors share in how the business performs.

Fixed, compliant cost
Commodity Murabaha fixes the profit rate at signing, so the cost of funding is known and modelled from day one.

Two layers of security
A guarantee from the Buyer (Kafala) and a pledge over the Target Company's shares (Rahn) protect the financier.

Proposed exit through listing
A reverse takeover into an internationally listed vehicle is proposed, to give the Buyer and co-investor liquidity.

Result

Approximately 75 percent of the purchase price is to be funded by Commodity Murabaha and the balance by Buyer and co-investor equity. Instalments are to be met from the Target Company's own cash flow, and a listing is proposed as the exit route.

Status: advanced stage. All terms are indicative and subject to due diligence and final documentation. Figures are shown as ranges or approximations and charts are schematic, not to scale. Names, jurisdictions and identifying details have been removed for confidentiality.

YD Advisory
Bespoke transaction and strategic advisory
Capital Raising, Fractional CFO, Valuation,
Mergers and Acquisitions, IPO

Offices
Level 41, Emirates Tower, DIFC, Dubai
Level 24, CapitaGreen, 138 Market Street,
Singapore 048946

Contact
www.ydadvisory.ae
yashawi.das@ydadvisory.ae
+971 528477369

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